

- tobacco
- controversial weapons
- fur or leather
- palm oil
- adult entertainment.

What you want to negatively screen for will be different for most people, and that's fine. It's not about doing what others perceive as correct; it's about aligning your investments to your values.

ESG risk rating assessments

A third way to work out if something meets your ethical standards is through ESG risk rating assessments, which can be found on [Morningstar.com](https://www.morningstar.com). It's based off multiple exposure factors, such as business model, geography, financial strength and incident history. This provides an ESG risk rating as a number, with 0 to 9 being negligible and anything over 40 being a severe risk. Basically, if you're after ethical companies, you don't want the company you're investing in to have a high ESG risk rating.

What if you're invested in a fund that includes companies you don't agree with?

One of the issues with investing in an index fund or ETF is that you don't get to choose what companies are in there. For example, in early 2020 you may have invested in an S&P 500 ETF. Say you deeply dislike Tesla. Later in the year Tesla becomes part of the S&P 500 and you face a moral dilemma — do you remove all your S&P 500 ETF shares?

The answer to this isn't clear cut, but you have a few options. You can choose to sell all your ETF shares. Or you can choose to keep your shares and invest in another ETF moving forward.

Some investors choose to keep the ETF if the company they don't like makes up a small percentage of that fund, and instead choose to not invest in that company's shares individually.